

Senate File 449

S-3057

1 Amend Senate File 449 as follows:

2 1. Page 1, after line 10 by inserting:

3 <b. "Consumer" means either a new consumer or an existing
4 consumer.>

5 2. Page 1, line 11, by striking <b.> and inserting <c.>

6 3. Page 1, by striking lines 14 through 17 and inserting:

7 <d. "Digital financial asset transaction kiosk" means
8 an electronic terminal acting as a mechanical agent of an
9 operator to enable the operator to facilitate the exchange of
10 a digital financial asset for money, bank credit, or other
11 digital financial asset, including but not limited to any of
12 the following:

13 (1) By connecting directly to a separate licensed digital
14 financial asset exchange that performs the digital financial
15 asset transaction.

16 (2) By drawing upon a digital financial asset in the
17 possession of the operator.>

18 4. Page 1, after line 17 by inserting:

19 <e. "Existing consumer" means an individual who is not a new
20 consumer.>

21 5. Page 1, line 18, by striking <d.> and inserting <f.>

22 6. Page 1, after line 21 by inserting:

23 <g. "New consumer" means an individual who has not
24 previously engaged in a digital financial asset transaction
25 with a particular operator. An individual shall continue to be
26 considered a new consumer for a period of thirty calendar days
27 after the individual makes their first digital financial asset
28 transaction with a particular operator.>

29 7. Page 1, line 22, by striking <e.> and inserting <h.>

30 8. Page 1, line 24, by striking <f.> and inserting <i.>

31 9. Page 1, by striking line 28 and inserting:

32 <2. Daily transactions.

33 a. An operator shall not, via a digital>

34 10. Page 1, after line 31 by inserting:

35 <b. In the thirty calendar days following a new consumer's

1 first financial asset transaction with a particular operator,
2 the operator shall not, via a digital financial asset
3 transaction kiosk, accept from the new consumer or dispense to
4 the new consumer more than ten thousand dollars.>

5 11. Page 3, after line 12 by inserting:
6 <c. Prior to entering into a digital financial asset
7 transaction with a consumer, an operator shall require the
8 consumer to attest to receiving the disclosure required under
9 paragraph "a".>

10 12. Page 4, line 34, after <operator> by inserting <, or an
11 established third party acting on behalf of the operator and
12 that specializes in performing blockchain analytics,>

13 13. Page 5, line 6, after <operator> by inserting <, or of
14 an established third party acting on behalf of the operator and
15 that specializes in performing blockchain analytics>

16 14. Page 5, after line 11 by inserting:
17 <8. *Refunds — new consumers.* Upon the request of a new
18 consumer, an operator shall issue to the consumer a refund for
19 the full amount of all digital financial asset transactions
20 that the consumer made during the thirty-calendar-day period
21 that the consumer was a new consumer if all of the following
22 circumstances exist:

23 a. The new consumer was fraudulently induced to engage in
24 the digital financial asset transaction for which the consumer
25 is requesting a refund.

26 b. The consumer has contacted the operator and a government
27 or law enforcement agency to report the fraudulent nature of
28 the digital financial asset transaction within ninety calendar
29 days of the last digital financial asset transaction to occur
30 while the consumer was a new consumer.

31 c. The consumer has submitted proof of the fraud to the
32 operator, including but not limited to a police report or sworn
33 declaration detailing the fraudulent nature of the digital
34 financial asset transaction.

35 9. *Refunds — existing consumers.* Upon the request of an

1 existing consumer, an operator shall issue to the existing
2 consumer a refund for the full amount of all digital financial
3 asset transactions that the existing consumer made if all of
4 the following circumstances exist:

5 *a.* The existing consumer was fraudulently induced to engage
6 in the digital financial asset transaction for which the
7 consumer is requesting a refund.

8 *b.* The existing consumer has contacted the operator and a
9 government or law enforcement agency to report the fraudulent
10 nature of the digital financial asset transaction within ninety
11 calendar days of the digital financial asset transaction for
12 which the consumer is requesting a refund.

13 *c.* The existing consumer has submitted proof of the fraud
14 to the operator, including but not limited to a police report
15 or sworn declaration detailing the fraudulent nature of the
16 digital financial asset transaction.

17 10. *Enforcement — penalties.*

18 *a.* If the attorney general has reasonable belief that an
19 operator is in violation of this section, the attorney general
20 has the sole authority to bring civil action to provide for all
21 of the following:

22 (1) Enjoin further violations by the operator.

23 (2) Enforce compliance with this section.

24 (3) Civil penalties in an amount not more than ten thousand
25 dollars for each violation of this section.

26 (4) Other remedies permitted under law.

27 *b.* If the attorney general has reasonable belief that a
28 person is in violation of an injunction issued under this
29 subsection, the attorney general has the sole authority to
30 bring civil action to provide for civil penalties in an amount
31 not more than one hundred thousand dollars.

32 *c.* An individual that has knowledge of a violation of this
33 section may report the violation to the attorney general.

34 *d.* The attorney general shall establish an electronic
35 reporting system for the submission of reports pursuant to this

1 subsection.

2 11. *Compliance policies.* An operator shall implement,
3 maintain, and enforce written policies and procedures for
4 compliance with this section. The policies and procedures
5 shall be reviewed and approved by the operator's board of
6 directors or an equivalent governing body of the operator.

7 12. *Fraud policy.* An operator shall take reasonable
8 steps to detect and prevent fraud, including establishing and
9 maintaining a written antifraud policy. The antifraud policy
10 shall, at a minimum, include all of the following:

11 a. The identification and assessment of fraud-related risk
12 areas.

13 b. Procedures and controls to protect against identified
14 risks.

15 c. Allocation of responsibility for monitoring risks.

16 d. Procedures for the periodic evaluation and revision of
17 the antifraud procedures, controls, and monitoring mechanisms.

18 13. *Compliance officer.* An operator shall designate and
19 employ a compliance officer who meets all of the following
20 requirements:

21 a. The individual is qualified to coordinate and monitor
22 compliance with this section and all applicable state and
23 federal laws and rules.

24 b. The individual is a full-time employee of the operator.

25 c. The individual does not own more than twenty percent of
26 the operator that employs the individual.

27 Sec. _____. EFFECTIVE DATE. This Act, being deemed of
28 immediate importance, takes effect upon enactment.

29 Sec. _____. APPLICABILITY. This Act applies on or after July
30 1, 2025, to operators.>

31 15. Title page, line 1, after <kiosks> by inserting <and
32 including penalties, and effective date and applicability
33 provisions.>

34 16. By renumbering as necessary.

CHARLIE McCLINTOCK